

Q3 Financial Projections & M&A Strategy

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Title: Q3 Financial Projections and Acquisition Evaluation

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Q3 2026 Revenue Goals:

Our current forecast projects a 18% quarter-over-quarter revenue growth, targeting gross billings of \$4.8M. This growth is primarily driven by enterprise subscription upgrades and the rollout of premium AI workflow seats.

Merger and Acquisition (M&A) Evaluation:

PRISM is currently in late-stage acquisition discussions with Starlight Retail. The proposed deal size is estimated at \$12.5M in a cash-and-stock transaction. Finance has completed the preliminary due diligence. If approved, the merger will expand our operational footprint by 35% and onboard over 120 corporate clients.

Budget Allocations and Cost Savings:

To support the acquisition, we are restructuring departmental budgets. The marketing budget will be scaled back by 12%, while R&D will receive a 20% budget increase to accelerate Project Phoenix.

Stock Options and Equity Refactoring:

Board members have proposed a stock option pool expansion of 800,000 shares to incentivize core engineering team members, specifically targeting key engineering leads in the AI workflows division. Details on employee-specific equity options can be accessed via the HR compensation portal.

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